

## **Understanding Power of Attorney Documentation in the UAE**

If you have ever found yourself needing someone to help you sell your property or manage your bank account, you might have come across the term "Power of Attorney" (POA) at some point. This document is important as it has a very serious legal connotation in UAE but like all legal documents, it has its own rules which can confuse many people living there, whether they are residents or visitors.

So, here is a quick summary of what exactly a POA is, its kinds and how to go about getting one done in Dubai or Abu Dhabi or anywhere else in the UAE for that matter.

### **What Is a Power of Attorney?**

Power of Attorney is a legal tool whereby the principal authorises another person, the agent, to make decisions on behalf of the principal. It may include real estate transactions and bank transactions as well as court representation and business processing.

People who travel often or live abroad find it easier to deal with the whole situation by granting power of attorney rather than waiting for a number of issues to resolve themselves.

### **The Main Types of POA**

The different kinds of POA are quite different. There is a POA which is often referred to as General POA. This is an authority in which you allow someone, who is sometimes called the representative or agent, to make important decisions on your behalf. It provides you with the widest scope because it gives you the power to buy anything, do anything with all your properties and transact all the money on your behalf. However, a general POA can create problems because many banks and other organisations do prefer specific instructions due to the risk involved in fraud.

Limited or Special POA allows the person selected by you to perform a particular action on your behalf. For example, you can allow one of your relatives to sell one piece of land for you or to make some particular transactions. In most of the cases, banks require a Special POA in order to reduce the risk of fraud in major property transactions.

There is also a Non-Durable POA which can be applied for one particular task or activity, and then it will cease when that specific task is completed.

Finally, a Corporate POA is an authority used by corporations that allows a company to choose a representative in an efficient manner.

## **What Makes a POA Legally Valid**

In order for a Power of Attorney (POA) to be valid, the POA must meet several conditions under UAE law.

**Capacity:** Both the agent and principal need to have capacity in order to perform their respective roles.

**Consent:** The principal should know the effects of the powers they are granting.

**Legality:** The POA should not be used to grant an illegal or non-legal power.

**Clarity:** Poor wording of the POA is one of the most common reasons why it is rejected.

**Formalities:** The POA must comply with the required legal formalities and processes.

If any one of the above elements is not satisfied, it is clear that the POA will be unenforceable and void as per the laws of the UAE, irrespective of whether it has followed the paperwork formalities or not.

## **Notarization: The Step You Can't Skip**

Notarisation is the process in which a private document becomes a public document. The Notary Public is responsible for identifying the parties involved and confirming the authenticity of their signatures. Once it has been notarised, the POA has great evidential value and cannot be easily overturned unless it is proven to be fraudulent.

The person executing the power of attorney should usually be present; the agent/licensed attorney need not be there.

## **Documents that are required:**

1. Passport in its original form and also a photocopy of its page.
2. Emirates ID in its original form and copy.
3. Copies of the POA document.
4. If a property or asset is involved, then the land certificate is also required.
5. If the executing sharer does not speak Arabic, then it must be translated by a certified legal translator into the Arabic language.

The importance of language. It should be noted that POA in the UAE needs to be done in the Arabic language or English due to the legal implications.

## **Using a Foreign-Issued POA in the UAE**

When your POA was executed outside the United Arab Emirates, you will have to meet various requirements before being able to use it in the UAE, namely the following:

- Having the POA notarised in the country of signature.
- Getting the POA attested by the Ministry of Foreign Affairs in the home country.
- Having the POA legalised by the UAE embassy.
- Getting the POA attested by MOFA in the UAE.
- Getting it translated into Arabic by MOJ approved translator.

## **A Few Practical Takeaways**

- Be sure to match the appropriate POA Type with your task. While a General POA may appear to be more straightforward, you may need to obtain a Special POA for transactions that involve assets or high amounts.
- Be careful with the wording. This is because ambiguity in the language of the POAs is one of the most common reasons as to why they are rejected. Thus, it is advisable to make use of proper, clear and unambiguous expressions in order to avoid problems.
- Remember that POAs for foreign documents may take longer to produce than anticipated, and thus you need to plan your steps ahead of time if you are going to use such a POA.

## **Final Word**

A Power of Attorney is an important legal document allowing a person to make certain decisions on behalf of another person, enabling them to do things even in cases of absence. Since the power of attorney grants legal powers to another individual to act on behalf of the principal person, the UAE laws take its procedure and requirements seriously.

It is important to know the type of power of attorney you are looking to secure, the correct language to use, and how to get it all notarized professionally to avoid all the unwarranted stress and money loss in the future. Note this article is pure informational content and should not be considered legal experts' advice.